PFS **Pinnacle Financial Services**
AGENT & BROKER RESOURCE

PLAN YEAR 2027 · FOR INDEPENDENT AGENTS & BROKERS

The Pre-65 Retiree Strategy Guide

Early retirees have the money and the plan, but no idea how to cover themselves until Medicare. This guide covers the enrollment rules, the income math behind the subsidy cliff, and a blueprint for finding these clients, closing them, and keeping them for life.

400% FPL CLIFF · SINGLE
$63,840
PY2027, 48 states & DC

400% FPL CLIFF · COUPLE
$86,560
$1 over = $0 tax credit

2027 HSA MAX · COUPLE 55+
$11,000
$9,000 family + 2 × $1,000

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Open Enrollment for 2027
HealthCare.gov: November 1, 2026 – January 15, 2027. Enroll by December 15 for a January 1 start. State-based marketplaces set their own deadlines.

Interactive version & cliff calculator:
samueltrippmedicare-coder.github.io/aca-certification-hub/pre65/

1 · THE OPPORTUNITY

A client base hiding in plain sight

Early retirees are some of the best clients in the individual market. They're organized and financially literate, they plan years ahead, and they stay with an advisor they trust. Most agents never go after them.

3×
A 64-year-old can be charged up to three times what a 21-year-old pays, so these households have the most at stake and the biggest tax credits.

1–10 yrs
Coverage needed before Medicare, renewed every Open Enrollment, each year a new chance to review and retain.

Age 65
They move to Medicare, and the agent who guided them through the gap is the obvious choice for their Medicare business.

Why they need an advisor, not a quote

- **The enrollment rules aren't intuitive.** Retiring doesn't create a Special Enrollment Period. Losing job-based coverage does.
- **Their income is a choice.** A retiree decides how much income shows up on the tax return through withdrawals, conversions and asset sales. Those decisions set the subsidy.
- **The penalty for getting it wrong is large.** The 400% FPL cliff and the end of repayment caps mean a single bad withdrawal can cost thousands.
- **Their other advisors don't cover health insurance.** The agent who connects tax planning and marketplace rules becomes the one they rely on.

2 · ENROLLMENT RULES

Special Enrollment Periods for retirees

SITUATION	SEP?	WHAT TO TELL THE CLIENT
Retiring (by itself)	NO	Retirement isn't a qualifying event. The *loss of coverage* that comes with it is.
Losing job-based coverage	YES	Opens a 60-day window, and they can apply up to 60 days *before* coverage ends. Plan the date so there's no gap.
Spouse's employer coverage ends	YES	Each person losing coverage qualifies, including dependents.
Dropping COBRA mid-year	NO	Voluntarily ending COBRA or not paying premiums isn't a qualifying event. Switch at Open Enrollment.
COBRA runs out (exhaustion)	YES	Reaching the end of the COBRA period counts as loss of coverage.
Retiree plan ends or is dropped	YES	Involuntary loss of retiree coverage qualifies.
Permanent move in retirement	OFTEN	Qualifies if they had qualifying coverage for at least one of the 60 days before the move.
Open Enrollment	ANYONE	No event needed. The cleanest time to move a retiree off COBRA.

Eligible vs. enrolled. Being *eligible* for COBRA or retiree coverage doesn't block the premium tax credit. Being *enrolled* does. Run marketplace numbers before the client signs the COBRA election.

Retirement-year trap. The credit is based on *annual* income. A June retiree still reports January–June salary, PTO payout and severance. Compare COBRA for the rest of year one with a marketplace plan starting January 1.

3 · INCOME

What counts as MAGI, dollar for dollar

Marketplace subsidies use household Modified Adjusted Gross Income: AGI, plus tax-exempt interest, plus the **non-taxable** portion of Social Security, plus excluded foreign income.

INCOME SOURCE	COUNTS?	NOTES
Traditional IRA / 401(k) / 403(b) withdrawals	YES, FULLY	Every pre-tax dollar withdrawn is MAGI.
Roth conversions	YES, FULLY	Taxable in the year converted. The most common reason retirees go over the cliff.
Social Security benefits	YES, 100%	The non-taxable part is added back, so the *whole* benefit counts.
Pensions and annuities	YES	Taxable portion only. Return of after-tax basis doesn't count.
Part-time, consulting, 1099 income	YES	Net of business expenses and the deductible half of SE tax.
Capital gains, dividends, interest	YES	Tax-exempt muni interest counts too. Only the *gain* on a sale counts.
Qualified Roth withdrawals	NO	Tax-free and excluded, a key tool for managing income.
Cash savings, return of principal	NO	Spending from savings doesn't create income.
HSA qualified distributions	NO	Tax-free for qualified medical expenses.
Loans, reverse-mortgage draws, gifts	NO	Not income.

4 · THE CLIFF

The 400% FPL subsidy cliff

The enhanced subsidies that removed the upper income cap expired at the end of 2025. For Plan Year 2027, households above 400% FPL get **no premium tax credit**. Below the line, the expected contribution is capped at roughly 10% of income.

Illustrative couple, age 62 and 63

Benchmark silver premium: about $2,100/month ($25,200/yr).

- **MAGI $86,000** (397% FPL): tax credit about **$16,600**.
- **MAGI $87,000** (402% FPL): tax credit **$0**.

An extra $1,000 withdrawal costs about $16,600. Illustrative only. Premiums vary by ZIP and carrier.

No more safety net at tax time

Starting with tax year 2026, the caps on repaying excess advance credits are gone. If actual income goes over the cliff, the client repays **every dollar** when they file.

Accurate income projection, with check-ins mid-year and in Q4, is the most valuable thing you do for these clients.

The floor matters too. Below **138% FPL** in a Medicaid-expansion state, a retiree is likely Medicaid-eligible (MAGI Medicaid has no asset test). Below **100% FPL** in a non-expansion state, there's no tax credit. Aim for a *range*: above the floor, under 400%, and ideally at or below 250% for Silver cost-sharing reductions. Thresholds by household size are on the worksheet page.

5 · STRATEGY

Levers that pull clients back under the cliff

You aren't the tax preparer, but you should know which levers exist so you can bring them up and coordinate with the client's financial advisor or CPA.

1. Mix the withdrawal sources

Fund living expenses from cash, taxable brokerage principal, and Roth money so only part of each year's spending counts as MAGI.

2. Right-size Roth conversions

Convert up to the cliff, not past it. Conversions can't be undone, so many planners convert in Q4, once the year's other income is known.

3. Time Social Security

Because 100% of the benefit counts, delaying until 65 or later often keeps MAGI lower in the pre-Medicare years and increases the lifetime benefit.

4. Use HSA contributions

An above-the-line deduction that, unlike a traditional IRA contribution, **doesn't require earned income**.

5. Bunch big events

Put a home sale, large withdrawal or big conversion in a single "sacrifice" year, or after Medicare starts, instead of spreading it across every subsidy year.

6. Harvest gains on purpose

For clients near the floor, realizing capital gains can raise MAGI into the eligible range while resetting cost basis.

"Your financial advisor plans how much income you take each year. I make sure those numbers keep your health insurance subsidy. Let's get all three of us on the same page before your next withdrawal."

6 · THE HSA PLAY

Lower MAGI after the income is earned

1. **Enroll in an HSA-qualified plan.** Starting in 2026, marketplace **Bronze and Catastrophic** plans count as HSA-compatible under federal law, along with any carrier-designated HSA-qualified HDHP.
2. **Open an HSA** with any custodian. A spouse 55+ who wants the catch-up needs their own HSA.
3. **Contribute up to the 2027 limit:** $4,500 self-only / $9,000 family, plus $1,000 per eligible person 55+. A couple 55+ can deduct up to **$11,000**.
4. **Lower MAGI dollar for dollar.** The contribution is an above-the-line deduction, so no earned income is needed.
5. **Decide after year-end.** 2027 contributions can be made until the April 2028 filing deadline. If final numbers come in slightly over the cliff, a contribution may bring them back under.

Guardrails to review with the client:

- Limits are prorated for months without HSA-qualified coverage (a last-month rule and testing period apply).
- Contributions must stop at Medicare enrollment. Starting Social Security at or after 65 triggers Part A, and late Part A can be backdated up to 6 months.
- Compare total cost: a lower premium plus tax savings against a higher deductible. A Silver plan with cost-sharing reductions may still be the better fit for lower-income households.

7 · MEDICARE

The Medicare handoff: a client for life

WHEN	WHAT YOU DO
Age 63	Bring up IRMAA. Medicare Part B and D premiums at 65 are based on MAGI from **two years earlier**, so large conversions at 63 can raise Medicare premiums at 65.
3 months before 65	Initial Enrollment Period opens. Enroll in Parts A & B. Review Medigap vs. Medicare Advantage and Part D.
Medicare start month	Once eligible for premium-free Part A, the tax credit ends. **Cancel the marketplace plan** for that spouse, because it doesn't end automatically.
Younger spouse	Stays on the marketplace plan, updates the application, and keeps managing MAGI until their own 65th birthday.

8 · THE BLUEPRINT

Find, close and keep

Referral partners

- Fee-only financial planners and RIAs
- CPAs and enrolled agents (Q4 tax planning)
- Estate-planning attorneys
- Retirement-income and annuity specialists

Your own book

- Younger spouses of Medicare clients
- Individual clients turning 55–64
- Life, annuity and P&C clients near retirement
- Past COBRA quotes that never converted

Life events

- Early-retirement and voluntary separation packages
- Layoffs and plant closings (public WARN notices)
- Teachers, public-safety and municipal retirees with limited retiree coverage
- Business owners selling a company

Content & community

- Short videos on the cliff and SEP myths
- “Retiring before 65?” community workshops
- LinkedIn posts for people 55–64 and their advisors
- Co-hosted webinars with a financial planner

The discovery conversation

1. When does your employer coverage end, and is there a retiree plan or COBRA offer?
2. Who's in your tax household, and when does each person turn 65?
3. What income will you have this year and next: pension, Social Security, withdrawals, consulting, investments?
4. Is a Roth conversion, home sale or large withdrawal planned in the next few years?
5. Which doctors, hospitals and prescriptions must stay in network?
6. Who is your financial advisor or CPA, and may I coordinate with them?

A talk track that positions you as the advisor

“Most people don't realize that retiring doesn't give you a special enrollment period, but losing your work coverage does. And because your subsidy is based on your retirement income, a single large IRA withdrawal or Roth conversion can cost you thousands. My job is to set up your coverage so the income plan you've already built doesn't cost you your tax credit, and then guide you into Medicare when you turn 65.”

9 · RETENTION

Annual service calendar

WHEN	TOUCHPOINT
Nov – Jan (Open Enrollment)	Re-project next year's MAGI, re-shop plans, confirm networks and drug lists, decide on an HSA plan.
Feb – Apr (tax season)	Remind clients to reconcile on Form 8962 using Form 1095-A, and coordinate any prior-year HSA contribution with their CPA.
Mid-year	Income check-in. Report changes to the Marketplace promptly so advance credits stay accurate.
September – October	Q4 planning call with the client and their financial advisor before any conversion or gain harvesting.
Birthdays 63 & 64	Start the IRMAA and Medicare conversation.

10 · COMPLIANCE

Guardrails

- ✓ Complete Plan Year 2027 Marketplace registration and training before you enroll anyone. Federal and state requirements are on the Pinnacle ACA Certification Hub.
- ✓ Document consumer consent and review the eligibility application with the client before submission, as federal Marketplace rules require.
- ✓ Use the client's own good-faith income projection. You can explain what counts as income, but the client attests to the number.
- ✓ Stay in your lane on tax and investment advice. Explain how the rules work, and send specific tax, withdrawal and conversion decisions to a CPA, enrolled agent or licensed financial professional.
- ✓ Follow your state's insurance department rules and each carrier's marketing guidelines for ads, social posts and seminars.

QUICK ANSWERS

Common client questions

Does a big 401(k) balance disqualify them?
No. Subsidies look at income, not assets. What matters is how much they withdraw.

Can they take less credit in advance to be safe?
Yes. They can take part of the credit in advance and claim the rest at tax time, a sensible cushion when income is uncertain.

What if income comes in higher than projected?
They reconcile on Form 8962 with no repayment cap. Report changes during the year, and consider a deductible HSA contribution before filing.

Are the enhanced subsidies coming back?
As of this guide's review date they have expired, and the 400% limit applies for 2027. Congress could change that, so check current law before quoting.

Want help building your pre-65 practice?
Contracting, certification and case strategy from Pinnacle.

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USE IN THE DISCOVERY MEETING

Pre-65 client MAGI worksheet

Client / spouse	
Ages / 65th birthdays	
Tax household size & state	
Employer coverage end date	

Projected 2027 income

Wages / self-employment (net)	$
Traditional IRA / 401(k) withdrawals	$
Roth conversions	$
Social Security (total benefit)	$
Pension / annuity (taxable)	$
Capital gains, dividends, interest (incl. tax-exempt)	$
A. Total income	$
HSA contributions	− $
Other above-the-line deductions	− $
B. Projected MAGI	$
400% cliff for household (table)	$
Headroom (cliff − B)	$

2027 coverage thresholds (48 states & DC)

HOUSEHOLD	100%	138%	250%	400%
1	$15,960	$22,025	$39,900	**$63,840**
2	$21,640	$29,863	$54,100	**$86,560**
3	$27,320	$37,702	$68,300	**$109,280**
4	$33,000	$45,540	$82,500	**$132,000**

Based on 2026 HHS poverty guidelines, used for Plan Year 2027. Alaska and Hawaii are higher. 100%: tax credit floor (non-expansion states). 138%: Medicaid line (expansion states). 250%: Silver cost-sharing reductions. 400%: subsidy cliff.

Checklist

- ✓ SEP or Open Enrollment confirmed
- ✓ COBRA / retiree plan compared
- ✓ Doctors & prescriptions checked
- ✓ HSA-qualified plan considered
- ✓ Advisor / CPA contact recorded
- ✓ Consent documented
- ✓ Mid-year & Q4 check-ins scheduled
- ✓ Medicare date on calendar

Notes & planned income events

Educational resource for licensed insurance agents and brokers. Not tax, legal or investment advice. Figures reflect federal rules for HealthCare.gov states as of November 2026, and state-based marketplaces and state laws may differ. Examples are illustrative. Clients should confirm tax decisions with a qualified tax professional. Not affiliated with or endorsed by any government agency.